

SAGE Scoring Model — Backtest Analysis

Options Tracker · May 19, 2026 · Covered Call (STO) Strategy · 17 Tickers · 6 Months

METHODOLOGY

Tickers: AAPL, AMZN, AMD, CAT, CEG, COST, GOOG, GOOGL, JPM, LMT, MSFT, NFLX, NVDA, OKLO, TKO, UPS, WDC
Period: 6 months of daily Schwab price history
Strike: 2.5% OTM from closing price, rounded to nearest \$0.50
Expiry: Next Mon/Wed/Fri (mirrors live strategy)
Win: Contract expires worthless (stock below strike at expiry)
Loss: Stock closes above strike at expiry

Factors from daily candles only: RSI-14, Change%, Bollinger %B, Fib levels, Gap. IV rank excluded (requires intraday data).

OVERALL RESULTS

Metric	Value
Total simulated trades	1,581
Overall win rate	81.7%
Avg ITM when losing	2.82%
Worst single loss	20.4% ITM
0 risk flags → win rate	92.1%
3+ risk flags → win rate	69–72%

KEY FINDINGS

- 1 Ticker volatility is the dominant risk factor**
HIGH_VOL tickers (WDC, AMD, OKLO, NVDA, CEG, CAT) win only 69.4% vs 88.5% for stable names. Excluding them raises baseline to 88.5%.
- 2 Extreme daily moves predict losses**
Stocks down >2%: 67.9% win rate. Stocks up >3%: 72.0%. Both tails are dangerous — the current gate (must be up 0.5%) is directionally wrong.
- 3 Current SAGE score inverts outcomes**
Trades scoring >=65 win only 60.0% vs 82.1% for lower scores. The model measures attractiveness when it should measure risk.
- 4 RSI and Bollinger %B have no predictive value**
Winner avg RSI 52.49 vs loser 52.31. BB%B identical at 0.536. Both factors should be removed.
- 5 DTE 2 underperforms**
DTE 1: 85.1% | DTE 2: 76.3% | DTE 3: 86.2%. Mid-week on volatile tickers is worst at 63.9%.
- 6 Gap flag is scored backwards**
Gap days win 79.7% vs 84.4% on non-gap days. Should be a negative signal, not positive.

MOST DANGEROUS FLAG COMBINATIONS (hard blocks recommended)

Flag Combination	Trades	Win Rate	Avg ITM	Action
BIG_DOWN + GAP + HIGH_VOL_TICKER	49	53.1%	3.11%	BLOCK
BIG_UP + DTE2 + GAP + HIGH_VOL_TICKER	38	57.9%	4.51%	BLOCK
DTE2 + HIGH_VOL_TICKER	36	63.9%	3.56%	BLOCK
BIG_UP + GAP + HIGH_VOL_TICKER	55	69.1%	4.56%	BLOCK
DTE2 + GAP + HIGH_VOL_TICKER	82	70.7%	2.63%	BLOCK
BIG_DOWN any ticker	234	67.9%	—	GATE
BIG_UP >3% any ticker	164	72.0%	—	GATE

WIN RATE BY TICKER

Ticker	Win Rate	Avg ITM Loss	Tier
COST	95.7%	1.10%	Safe
JPM	93.5%	1.01%	Safe
NFLX	90.3%	4.22%	Safe — but painful when wrong
TKO	89.2%	1.19%	Safe

MSFT	88.2%	1.39%	Safe
UPS	88.2%	1.01%	Safe
AAPL	87.1%	0.64%	Safe
GOOG	87.1%	2.27%	Safe
LMT	84.9%	1.27%	Safe
AMZN	81.7%	1.10%	Borderline
NVDA	77.4%	1.57%	Watch
CAT	76.3%	2.07%	Watch
CEG	76.3%	2.21%	Watch
AMD	63.4%	4.94%	High Risk
OKLO	63.4%	5.49%	High Risk
WDC	59.1%	3.86%	High Risk

NEXT STEPS

#	Action	Detail	Priority
1	Redesign SAGE as a risk filter	Replace 0-100 score with flag-based blocking. Count dangerous conditions; block HIGH threshold.	HIGH
2	Add ticker tier gate	Classify tickers Safe/Watch/High-Risk. High-Risk require wider OTM or blocked from HIGH STO.	HIGH
3	Fix change% gates	Block if change% <-2% OR >+3%. Current gate (must be up 0.5%) is wrong.	HIGH
4	Remove RSI and BB%B	Zero predictive value in backtest. Simplifies the model and reduces noise.	MED
5	Flip gap flag to negative signal	Gap days on high-vol tickers are dangerous. Reclassify as risk flag.	MED
6	Add IV rank to backtest	Tastytrade integration (planned) will enable premium-quality filtering.	MED
7	Track premium quality	A \$0.10 win is not the same as a \$1.20 win. Add estimated premium to outcome tracking.	MED

Note: Backtest uses end-of-day close prices only. Does not account for intraday stops, premium collected, transaction costs, or assignment risk. Results are directional indicators only.